

FINANCE AND THE MEXICAN FINANCIAL SYSTEM
ADM- FINANZAS Y EL SISTEMA FINANCIERO MEXICANO
Instituto Tecnológico Autónomo de México

COURSE OVERVIEW

The course provides a comprehensive introduction to the fundamental quantitative methods essential in the field of finance, with a specific focus on the Mexican Financial System. The primary goal of this course is to help students gain a deep understanding of financial markets and the various securities traded within them.

The course maintains a rigorous approach, expecting students to not only grasp but also apply quantitative methods. In recognition of the constantly evolving composition of financial instruments and markets, this course is designed to adapt to these changes. Real-world examples will be used extensively to illustrate the practical applications of the theoretical concepts.

OBJECTIVE

The course provides a foundational understanding of the significance of corporate finance and the role it plays within the Mexican financial system. The course is divided into two parts to facilitate learning and comprehension.

The first part of the course will focus on acquiring the knowledge that supports the financial theory, highlighting the importance of the concept of the Value of Money in Time. The second part of the course will focus on the role that financial markets and financial institutions play in a modern economy, their characteristics as well as the challenges and opportunities faced in the distribution of resources in the economy.

By the course's conclusion, students will possess a robust foundation in corporate finance and an enhanced understanding of the Mexican financial landscape.

Prerequisites

- Basic Excel skills.

SYLLABUS

I. Introduction: The Corporation and Financial Markets

- a) The Four Types of Firms
- b) Ownership Versus Control of Corporations
- c) Primary and Secondary Stock Markets

II. The Time Value of Money

- a) The Timeline
- b) Valuing a Stream of Cash Flows
- c) Perpetuities and Annuities
- d) Interest Rate Quote and Adjustments

III. Investment Decisions and Capital Budgeting

- a) Net Present Value
- b) Internal Rate of Return
- c) The Payback Rule
- d) Profitability Index

IV. Mexican Financial Institutions, Financial Intermediaries, and Asset Management Firms

- a) Overview of the Mexican financial system
- b) Financial Regulatory Framework in Mexico
- c) Mexican Central Bank (Banco de México)
- d) Commercial Banks in Mexico

V. Bond Valuation and Mexican Government and Corporate Bonds

- a) Bond Cash Flows, Price, and Yields
- b) Dynamic Behavior of Bond Price
- c) Corporate Bonds
- d) Current Mexican Government debt instruments

VI. Mexican Stock Exchange

- a) Introduction to the Mexican Stock Exchange (BMV and BIVA)
- b) Market Participants and Regulatory Framework
- c) Major stock market indices in Mexico (IPC, FTSE BIVA)
- d) The Dividend-Discount Model

TEXTBOOK

TEXTBOOK

Berk, J., DeMarzo. 2020. Corporate Finance. Fifth Edition. Global Edition. Pearson.

Is mandatory to buy the textbook

Websites:

<https://www.bmv.com.mx>

<https://www.banxico.org.mx>

<https://www.gob.mx/cnbv>

<http://www.mexder.com.mx>

<http://www.biva.mx>

TECHNICAL REQUIREMENTS AND SKILLS:

Students enrolled in the course are expected to have moderate proficiency using Excel.